Chapter 3

Strategy
&
Strategic Management Process

Learning Outcomes

1. Understand Strategic Management process.
2. Explain the importance of strategic management
3. Describe what managers do during the six steps of the strategic management process

What is a Business Model?

It's the **blueprint of how a company makes money**.

It answers:

1. Who are our customers?
2. What value do we give them?
3. How do we deliver that value?
4. How do we earn revenue (money)?

It is the company's **money-making logic**.

Example

Netflix – *Subscription Model*

- Customers: People who want unlimited entertainment at home.
- Value: On-demand streaming of movies & series, anytime, anywhere.
- Delivery: Streaming platform.
- Revenue: Monthly/annual subscriptions.

Example

Apple – *Product + Ecosystem Model*

- Customers: Tech-savvy individuals willing to pay premium.
- Value: Innovative, beautifully designed, easy-to-use devices + seamless ecosystem (iPhone + Mac + AirPods+ TV Streaming+ Online storage+ Digital Payment).
- Delivery: Retail stores, online stores, App Store.
- Revenue: Device sales, App Store commissions, subscriptions (iCloud, Apple Music & TV Streaming).

Types of Business Model

Business Model	Specification	Example
B2B (Business to Business)	One business sells products/services to another business	Salesforce, Shopify
B2C (Business to Consumer)	Business sells directly to consumers	Amazon, Flipkart, Netflix
C2C (Consumer to Consumer)	Consumers sell to other consumers	OLX, eBay, Facebook Marketplace
C2B (Consumer to Business)	Individuals offer products/services to businesses	Upwork, Fiverr
D2C (Direct to Consumer)	Manufacturer sells directly to consumers without intermediaries	Mamaearth, boAt, Lenskart
Subscription Model	Customers pay a recurring fee (monthly/yearly) for access	Netflix, Spotify, Amazon Prime
Freemium Model	Basic services are free, but premium features entail a cost	Canva, Dropbox, LinkedIn
Marketplace Model	Platform connects buyers and sellers, earns commission on each sale	Amazon, Meesho, Uber

Business Model	Specification	Example
Retail Model	Buying from wholesalers or Manufactures and selling to consumers	Hyper 1, Walmart
Franchise Model	Licensing the brand and operational model to third-party operators	McDonald's, Domino’s
Manufacturing Model	Producing goods and selling to wholesalers/retailers/consumers	Tata Motors, Samsung
Dropshipping Model	Seller takes orders, supplier ships directly to customer	Oberlo-based Shopify stores
Ad-Based Model	Revenue from displaying ads to users/viewers	Google, Facebook, YouTube
Licensing Model	Sell rights to use intellectual property (software, brand, etc.)	Microsoft, Dolby Labs
Razor and Blade Model	Sell a basic product cheaply, earn from accessories/consumables	Gillette (razor + blades), HP printers
Affiliate Model	Earn commission by promoting others' products/services	Bloggers, influencers, Amazon Associates
Brokerage Model	Charge fee/commission for connecting buyers and sellers	Airbnb
On-Demand Model	Service/goods are provided instantly upon customer request	Swiggy, Uber, Zepto
Hybrid Model	Combines two or more business models together	Amazon (B2C + Marketplace + Subscription)

ACTIVITY WORKS

What is the business Model of Your Company??

Example

Business Model :……

- **Customers:……..**
- **Value: ……**
- **Delivery: ……**
- **Revenue: ……**

Strategy

- **Strategy** is a high-level plan or approach designed to achieve long-term goals or objectives, often in the context of competition or complex environments.
- **It Answer 3 questions:**
  - **What is my current situations** (Internal & External Analysis)?
  - **What is my Goal?** (Strategy formulation)
  - **How can I get there?** (Strategy Implementation & Action plan)

Strategic Management

Strategic management is the systematic process of formulating, implementing, and evaluating strategies to achieve organizational goals.

It involves three core phases:

- **Analysis:** Assessing **internal** (SWOT, VRIO) and **external** environments (PESTEL, Five Forces).
- **Formulation:** Crafting strategies at **corporate** (e.g., diversification), **business** (e.g., cost leadership), and **functional levels** (e.g., marketing strategy).
- **Implementation & Evaluation:** Aligning resources, structure, culture, and controls.

Importance of Strategic Management

Adapts to Business Environment Changes

Enables quick and effective responses to market changes.

Improve Organizational Performance

Enhances efficiency and effectiveness across the organization.

Coordinates Diverse Organizational Units

Ensures seamless collaboration among different departments.

Importance of Strategic Management

1.Improves Organizational Performance

Strategic management directly influences how well an organization performs by aligning resources and actions with long-term goals. Research consistently shows a positive relationship between strategic planning and performance metrics like revenue growth, profitability, or mission fulfillment.

Example:

- **Walmart** leverages strategic management to streamline its supply chain, reducing costs and maintaining low prices, which has driven its global retail dominance.
- A hospital implementing strategic management might adopt electronic health record systems to improve patient outcomes, resulting in higher satisfaction rates and operational efficiency.

Importance of Strategic Management

2. Adapts to Business Environment Changes

Strategic management enables managers to monitor external factors (e.g., market trends, regulations, or technological advancements) and adapt strategies accordingly to remain competitive.

Example:

- **Netflix** shifted from DVD rentals to streaming services in response to changing consumer preferences and technological advancements, securing its position as a market leader.
- A governmental agency might revise its strategies to address new environmental regulations, ensuring compliance while meeting public service goals.

Importance of Strategic Management

3. Coordinates Diverse Organizational Units

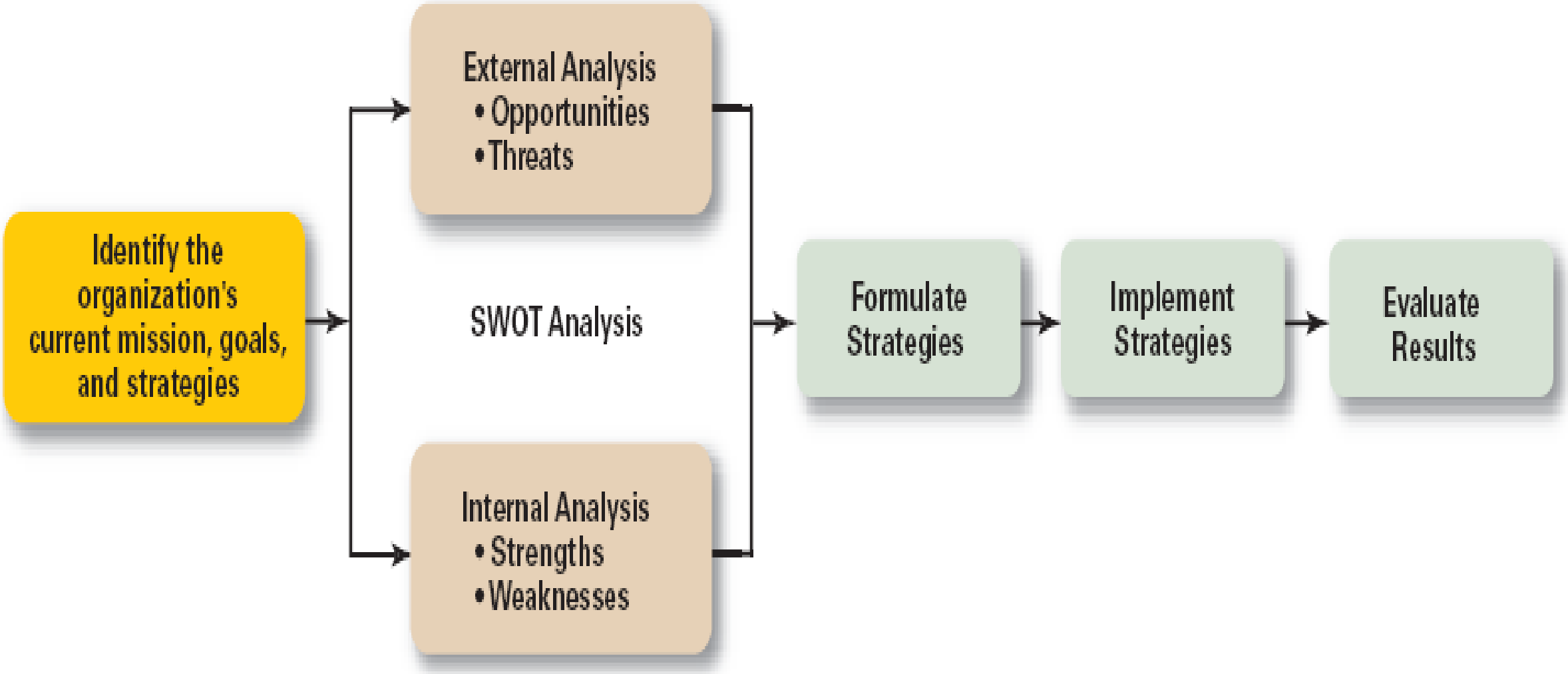
Strategic management aligns various departments or units toward common organizational goals, fostering collaboration and reducing inefficiencies.

Example:

- **Procter & Gamble** uses strategic management to align its marketing, production, and R&D teams to launch new products like eco-friendly detergents, ensuring all units work toward sustainability and profitability goals.
- A non-profit like **UNICEF** coordinates its global teams to focus on shared objectives, such as improving child health, by aligning fundraising, logistics, and field operations.

Strategic management process

The Strategic Management Process Model



Step 1: Identifying the organization's current mission, goals, and strategies

A **vision statement**

- is a forward-looking declaration that defines what an organization aspires to be in the long term.
- It should answer the basic question:

"What do we want to become?"

The **vision statement** should be:

1. Short sentence, preferably one sentence, and
2. Future-oriented statement (**Directional and Motivational Dream**)
3. Clear
4. Concise (No Redundancy)
5. Common Understanding
6. Cannot be achieved with what the organization has currently on hands.
7. as many managers as possible should have input into developing the statement.

Vision Statement

Company	Vision Statement
Amazon	To be Earth's most customer-centric company, where customers can find and discover anything they might want to buy online
Google	To provide access to the world's information in one click
IKEA	To create a better everyday life for the many people
LinkedIn	Create economic opportunity for every member of the global workforce
Tesla	To create the most compelling car company of the 21st century by driving the world's transition to electric vehicles

Step 1: Identifying the organization's current mission, goals, and strategies

Mission: A declaration of an organization's **"reason for being."**
It answers the fundamental question **"What is our business?" and "What distinguishes our business"**

The Mission statement should be:

1. **Broad in scope; does not include monetary amounts, numbers, percentages, ratios, or objectives**
2. **Fewer than 60–75 words max**
3. **Inspiring and directional**
4. **Clear**
5. **Concise**
6. **Common Understanding**
7. **Covers Nine basic components: customers, products or services, markets, technology, concern for survival/growth/profits, philosophy, self-concept, concern for public image, concern for employees**

Mission Statement

Components

1. Customers -Who are the firm's customers?
2. Products or services-What are the firm's major products or services?
3. Markets -Geographically, where does the firm compete?
4. Technology -Is the firm technologically current?
5. Survival, growth, and profitability -Is the firm committed to growth and financial soundness?
6. Philosophy -What are the basic beliefs, values, aspirations, and ethical priorities of the firm?
7. Distinctive competence -What is the firm's major competitive advantage?
8. Public image -Is the firm responsive to social, community, and environmental concerns?
9. Employees -Are employees a valuable asset of the firm?

Step 2: Doing an external analysis

The environmental scanning of **specific and general environments**

Focuses on identifying opportunities and threats

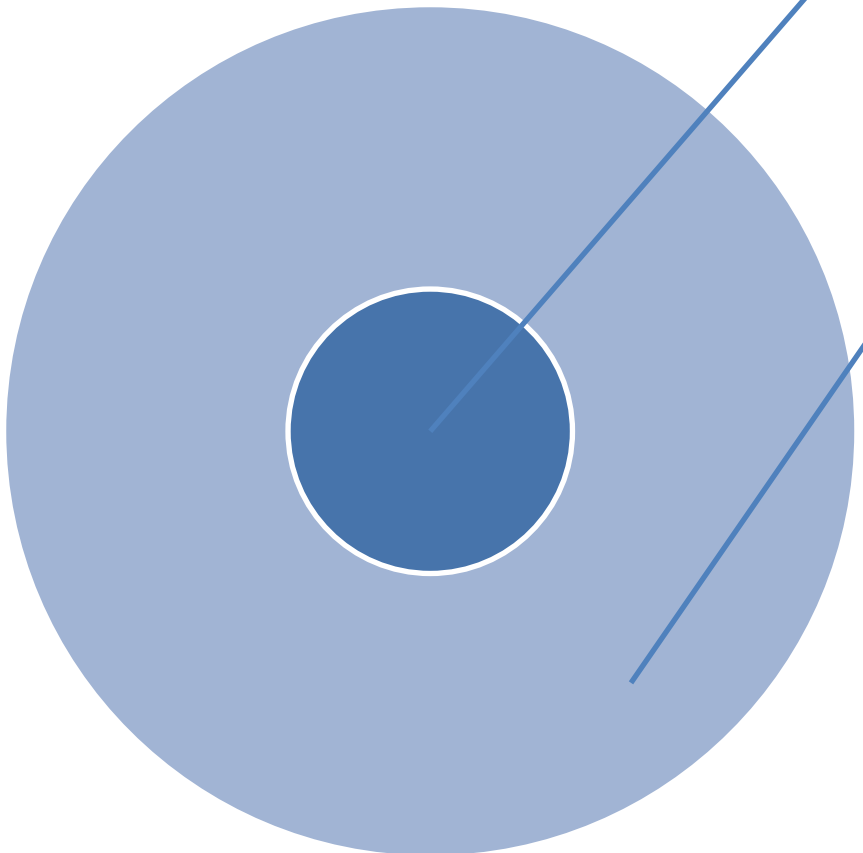
External Environment

Those factors and forces outside the organization that affect the organization's performance.

Components of the External Environment

- **Micro-environment:** external forces that have a **direct** and immediate impact on the organization. Customers , Suppliers, Competitors and public pressure group
- **Macro- environment:** external forces that ***may*** affect the organization .(PEST) **economic**, socio-cultural, **political/legal**, demographic, technological, and global conditions

Business Environment



External Micro-Environment

- Customers
- Distributors
- Suppliers
- Competitors

External Macro-Environment

- **P**olitical Environment
- **E**conomic Environment
- **S**ocial Environment
- **T**echnological Environment
- **L**egal Environment
- **E**nvironmental Issues

External Environment

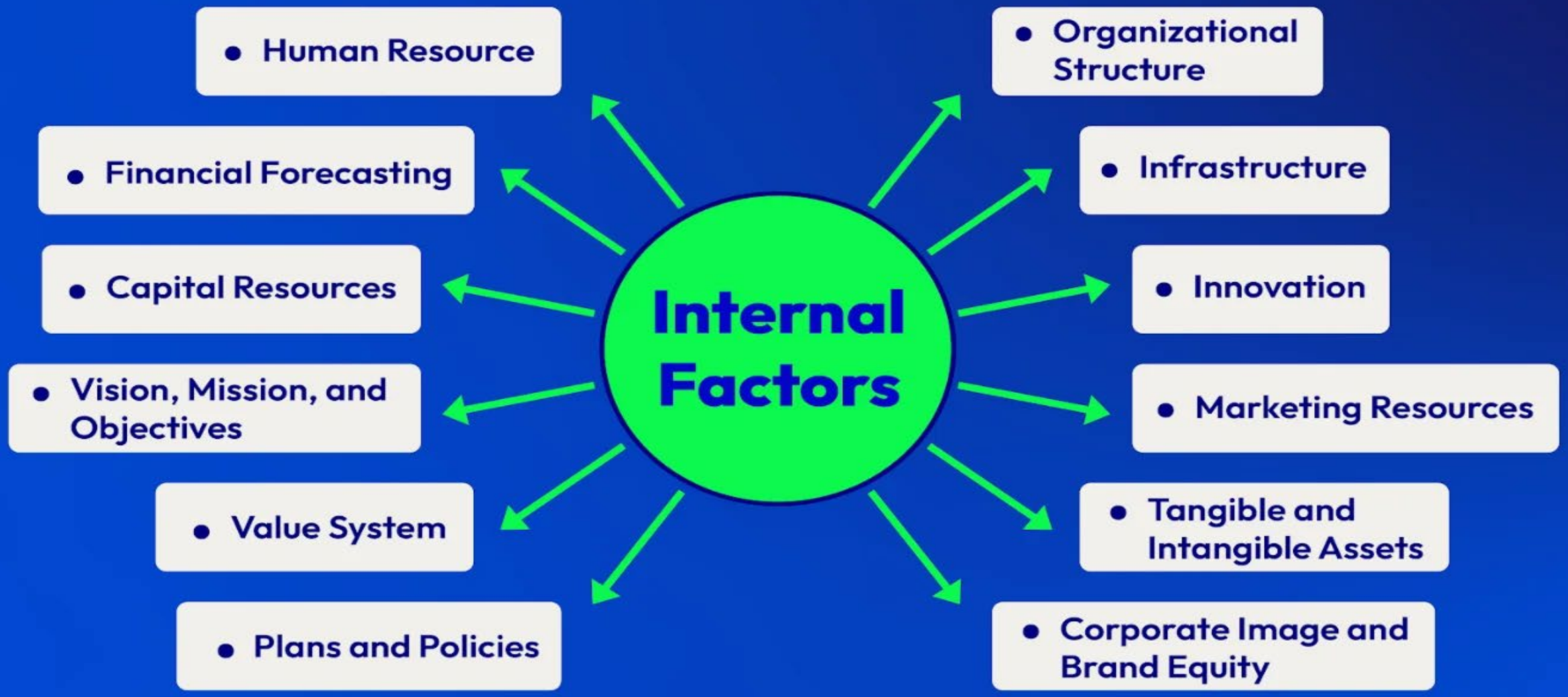
Step 3: Doing an internal analysis

Assessing organizational **resources**, **capabilities**, and **activities**:

- **Strengths** create value for the customer and **strengthen the competitive position of the firm.**
- **Weaknesses** can place the firm at a **competitive disadvantage**.

Steps 2 and 3 combined are called a SWOT analysis. (Strengths, Weaknesses, Opportunities, and Threats)

Business Environment



Apple SWOT
(Strengths, Weaknesses, Opportunities, Threats)

Strengths (internal, positive)

- Strong global brand reputation and customer loyalty
- Innovative products with premium design and high quality
- Integrated ecosystem (iPhone, iPad, Mac, Apple Watch, iCloud, App Store)
- High profitability and strong financial performance
- Advanced research & development capabilities
- Strong retail and online distribution network
- Excellent user experience and operating system integration

Weaknesses (internal, negative)

- Premium pricing limits affordability for some customers
- Heavy dependence on iPhone sales for revenue
- Closed ecosystem limits compatibility with non-Apple devices
- High production costs
- Limited customization compared to competitors
- Dependence on external suppliers and manufacturing (mainly in Asia)

Opportunities (external, positive)

- Expansion in emerging markets (Asia, Africa, Middle East)
- Growth in services segment (Apple Music, iCloud, Apple TV+, Apple Pay)
- Development of AI, AR, and VR technologies
- Wearable technology and health monitoring devices
- Increasing demand for digital services and remote work devices.

Threats (external, negative)

- Intense competition from companies like Samsung, Google, and Huawei
- Rapid technological changes
- Supply chain disruptions and geopolitical risks
- Legal and regulatory pressures (antitrust issues)
- Economic downturn affecting premium product demand
- Cybersecurity and data privacy risks

Step 4: Formulating strategies

Deciding the best plan of action that helps an organization achieve its goals and succeed in the future.

It is the process of **thinking, analyzing, and choosing what the company should do to reach its objectives**.

What Happens During Strategy Formulation?

Organizations usually:

1.Analyze the environment

- Opportunities and threats outside the company
- Strengths and weaknesses inside the company

2.Set goals and objectives

- Growth
- Profitability
- Market expansion

3.Generate strategic alternatives

- Enter new markets
- Launch new products
- Reduce costs

4.Choose the best strategy

- Select the option that gives competitive advantage

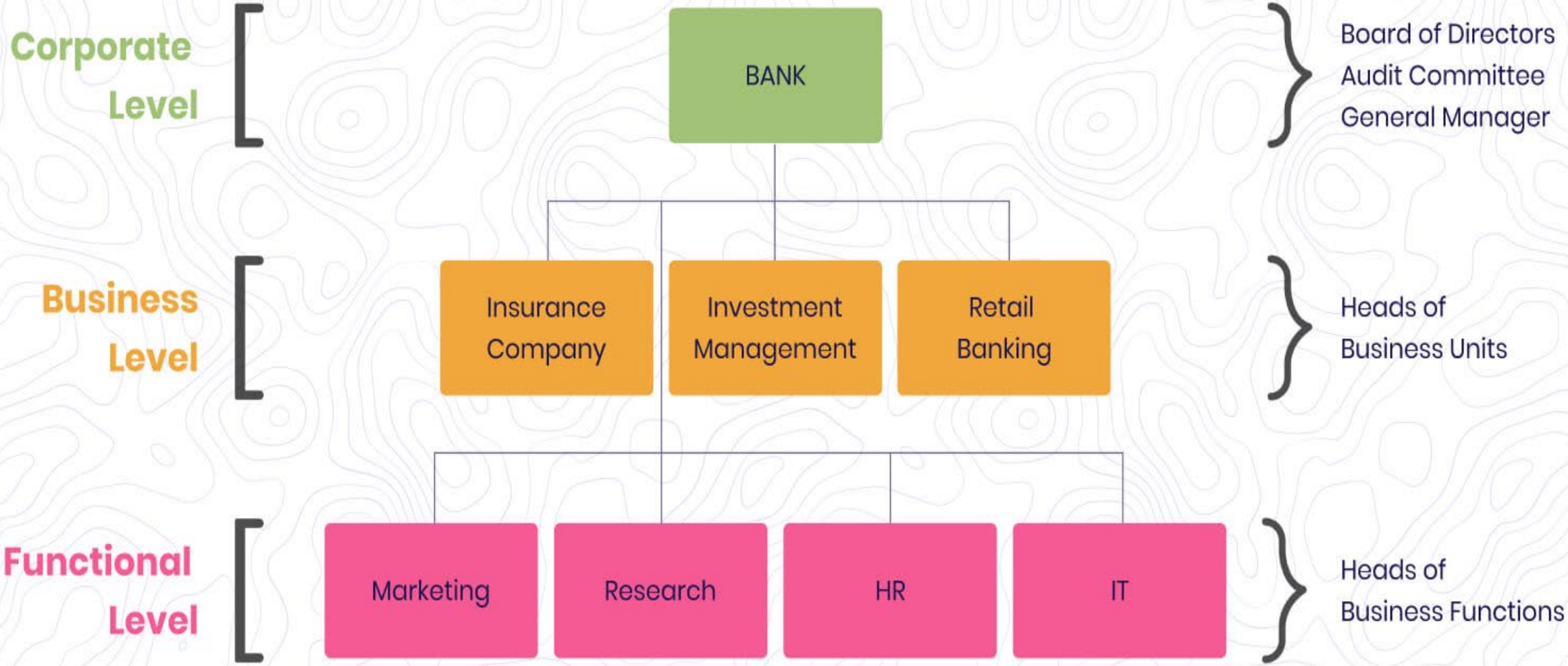
Step 4: Formulating strategies

Three main levels of strategy

1. **Corporate strategy**
2. **Competitive (business-level) strategy**
3. **Functional strategy**

Strategy Level	Simple Question	Who Decides?
Corporate	What business should we be in?	**Top executives**
Business (Competitive)	How do we beat competitors?	**Business managers**
Functional	How do departments support it?	**Department managers**

Strategy Levels: Bank Example



Step 4: Formulating strategies

1. Corporate Strategy (Big Picture Decisions)

Corporate strategy decides **WHAT the company will do**.

Main Question:

What businesses should the company be in?

This is the **highest level** of strategy.

Top management decides **where the company will operate and grow**. It answers:

- Should we enter new markets?
- Should we launch new products?
- Should we expand internationally?

Example (Apple):

Apple first made computers → then entered:

- Smartphones
- Smartwatches
- Digital services

So Apple decided **not to stay only a computer company**.

Step 4: Formulating strategies

2. Competitive (Business-Level) Strategy :

Competitive strategy decides **HOW the company competes**.

Main Question:

How do we win against competitors?

Once the company chooses a market, it must decide **how to compete**.

Options usually include:

- Low price
- High quality
- Innovation
- Customer experience

Example (Apple):

Apple does **not** compete by being cheapest.

Apple competes through:

- Premium design
- Strong brand
- Connected ecosystem

So customers buy Apple for **experience and quality**, not price.

Step 4: Formulating strategies

3. Functional Strategy (Department Actions)

Functional strategy decides **HOW daily work is done**.

Main Question:

How does each department support the strategy?

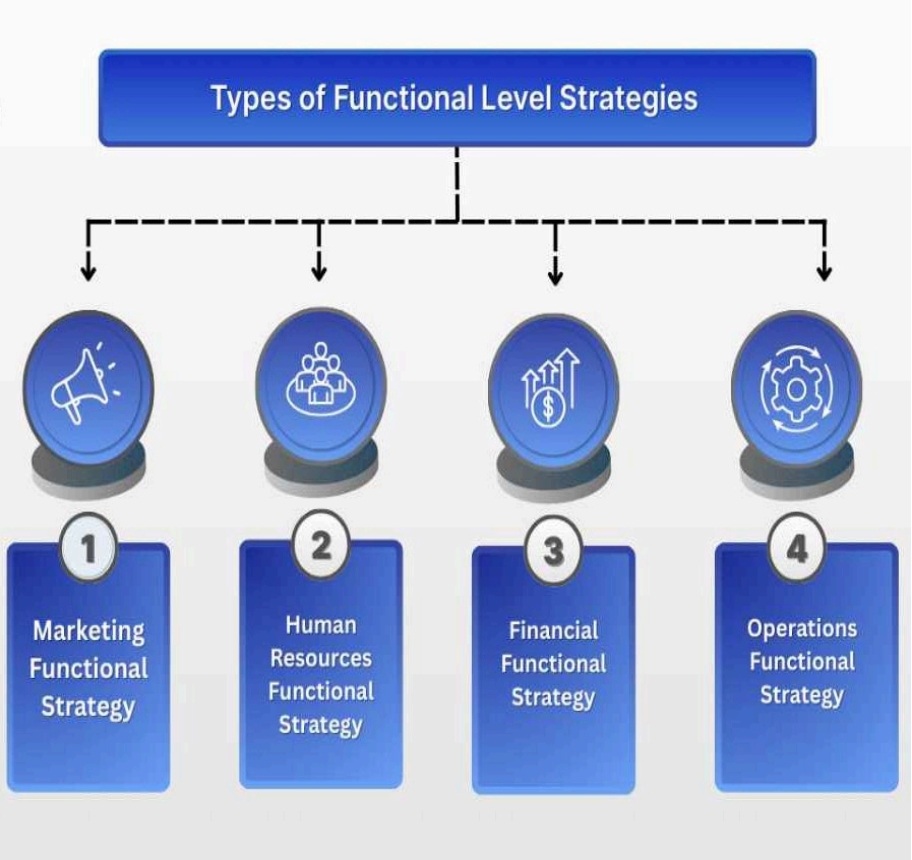
Every department works to make the competitive strategy successful.

Examples of departments:

- Marketing
- Operations
- HR
- Finance
- R&D

Example (Apple):

- **Marketing:** focuses on lifestyle & innovation advertising
- **Operations:** ensures high-quality production
- **Design team:** creates simple, elegant products



Levels of Strategy

1. Corporate Strategy

Which businesses should we be in?

iPhones | Wearables | Services

Example: *Apple expands into Phones, Wearables & Services*

2. Business Strategy

How should we compete?

PREMIUM DESIGN | STRONG BRAND | ECOSYSTEM

Example: *Apple differentiates with Quality & Ecosystem, not Low Price*

3. Functional Strategy

How can departments support the strategy?

Marketing: *Lifestyle & Design*

Operations: *High-Quality Production*

Example: *Marketing focuses on lifestyle, Operations ensures top manufacturing*

Step 5: Implementing strategies

Translating strategic plans into operational activities **by allocating resources, assigning responsibilities, developing structures, and managing people** to achieve organizational goals. It answers practical questions such as:

- Who will do the work?
- What resources are needed?
- When should actions start?
- How will performance be monitored?

Translating Strategy into Action Plans

Strategic goals are broken down into:

- **Programs**
- **Projects**
- **Departmental objectives**
- **Daily operational tasks**

Step 6: Evaluating results

Strategy evaluation refers to:

Monitoring organizational performance, comparing actual results with strategic objectives, and taking corrective actions when necessary.

Since business environments constantly change, organizations must regularly review their strategies to remain competitive.

It ensures that the implemented strategy is actually **achieving the desired organizational goals**.

In simple words:

- **Did the strategy work?**

  Are we achieving what we planned?

  Do we need corrections or new strategies?

Thank
YOU!